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Maj Rinalducci: 30095

In view of the source, this should be classified SECRET.

This is of interest to Col Fortier T/Int.

It is also of interest to JSO, for their files of Formosan activities. This is a case where joint interest is indicated; generally speaking, ALL INFO FROM OVERSEAS AREA, outside Japan, is of interest to T/Int. It should be directed to Col Fortier, AFTER EXPLAINING THE NEED FOR DISCRETION. The info can be extracted (Secret classification) without GOING INTO ANY DISCUSSION OF SOURCES ETC.

This is also linked with recent CIC info re smuggling in of Jap ex-military.

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30 September 1949

MEMO TO: Gen Willoughby

SUBJECT: Formosa

1. Special informants net submits a special report (Tab 1) concerning the relationship between alleged important statesmen in Japan and in Formosa. The report goes on to make a comparison between certain prominent Chinese who are in Japan and in Formosa. The following data is extracted from this report concerning the individuals hereinafter named:

a. Chiang Chieh-shih and Chen Cheng.

Chiang Chieh-shih and Chen Cheng come from the same province. Ever since the revolution Chen Cheng has been a faithful follower of Chiang. After Chiang went to Formosa in 1948 Chen Cheng became ambitious to assume the leadership held by Chiang. In 1949 Chiang held a meeting with Tang Wen-po and Wang Wen-cheng in Shianghai and Chiang was advised to go to Formosa as soon as possible. It is alleged that Chen is the custodian of Chiang's wealth. At the present time the relationship existing between the two seems to be peaceful, however, it appears that Chen Cheng will not continue to be a follower of Chiang. He is classified as an extreme rightest in Chiang's organization. He hates foreigners and is very much disliked by the Americans.

Tang Wen-po.

Tang Wen-po is considered to be one of the closest men to Chiang. He previously studied in Japan and is presumed to be pro-Japanese. He is known as one of the best strategists in the Chinese army, however, he failed in the defense of Shanghai and is now in Amoi. Chiang still has great confidence in him. He is a professional soldier and does not play politics like Chen Cheng. His future does not seem very bright.

b. Chen Cheng and Sun Li-jen.

Sun Li-jen went to Formosa in 1947, a year before Chen Cheng went there. He is one of Chiang's trusted men and heads the training of troops. Chen Cheng dislikes him because of his influence in the army. These two men will not collaborate in an emergency.

Sun Li-jen has a very good war record. He fought against the Japanese army in Burma as the Commander of the Central Indian Army. He studied in the U. S. and has a good knowledge of modern warfare. He is said to be intelligent and fearless. He could be a very useful person to the U. S. in the future.

Col Fortier

c. Wang Wen-cheng and Shang Chen.

These two men are both on good terms. Politically it is said that Shang is under the influence of Wang. Chu Shih-ming is also politically under the influence of Wang. Wang Wen-cheng is a broad minded politician and has an excellent personality. At the present time he is in Japan as Special Assistant to the Chief of the Chinese Mission. He is very anti-Communist and has devoted many years of his life to the collaboration between Japan and China and is friendly to America.

Shang Chen is the former Chief of the Chinese Mission. He is still in Japan.

Chu Shih-ming is in Japan at the present time as Chief of the Chinese Mission.

2. Condition of the Chinese Army in Formosa.

The Chinese allege that they have 400,000 fully equipped soldiers on the island, however, other sources indicate that they only have about 150,000 soldiers and that these soldiers are without fighting spirit.

3. After the war, over 2,000,000 Chinese moved to Formosa. Because of the political and economic situation the inhabitants were thrown into confusion and much uneasiness was in existence. These newcomers are very dissatisfied with the present situation in Formosa. Informant states that, roughly classified, 50% of the inhabitants of Formosa desire Japanese rule; 20% desire international rule; 20% desire neutrality and 10%, most of them Communists, desire independence.

4. Informant reports that sooner or later Formosa will be taken over by the Communists. It is just a question of time. This does not necessarily mean that there will be an amphibious landing by the Communist Armed Forces but that the 5th column in Formosa will cause the downfall of the island. The situation there is considered very dangerous for the Nationalists. Informant fears that if Formosa falls to the Communists it will mean a break through the center of the American defense line in the West Pacific and that Formosa should be controlled by a neutral force as if it fell into the hands of Russia it would be a dangerous situation for the Americans.

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Formosa 1000.0100

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Report on Formosa.

(I) Relation between important states men in Japan and in Formosa.

A. Chiang Chieh-shih and Chen Cheng.

Chen Cheng; and Chiang are from the same province Since the revolution, he became a faithful follower of Chiang. But, after he went to Formosa, in 1948, he began to have the ambition, to follow the seat of Chiang, when Chiang falls. When Chiang held a meeting with Tang Wen-po and Wang Wen-cheng in Shanghai, in 1949, Jan. , the latter adviced Chiang to go to Formosa, as soon as possible, because of this change of Chen. (Chen is the custodian of Chiang's wealth.)

At present moment, the relation between the two looks peaceful. But, it seems that Chen will not follow Chiang's fate, any more. He has to be classified, as extreeme rightist, in Chiang's camp. He hates foreigner and he is disliked by American.

Tang Wen-po

Tang is one of the closest men to Chiang. He has studied in Japan and suppose to be pro-japanese. He is one of the best strategists in chinese Army. But, he failed in Shanghai defence, and now sitting alone in Amoi. Chiang still has a great confidence in him. He is a professional soldier and has no political mind like Chen Cheng, seems to have no future any more.

B, Chen Cheng and Sun Li-jen.

Sun Li-jen went to Formosa, one year before Chen, in 1947. He is also trusted man of Chiang and now the head of training troups. Chen does not like him because of Sun's influencial position in the Army They will not collaborate in emergency.

Sun has good War record. He fought against japanese Army in Bulma, as the commander of Central Indian Army. He has studied in U.S. and he is advanced in knowledge of modern War, (as chinese). He is intelligent and brave. He could be useful person for U.S.in future.

C, Wang Wen--cheng and Shang Chen.

The both are in good term. Politically, Shang is under the influence of Wang. Chu Shih-ming is also politically under the control of Wang.

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WangWen-cheng is the man from Fu-chien Sheng. He is a broad-minded politician and has excellent personality. Just now, he is in Japan, as the advicer to the Chinese mission. He hates communists and they will not let him alive, if the time comes for them.

He has devoted himself for many years, for the collaboration between Japan and China. Now, he is earnestly wishing approach America.

Note; Shang Chen is former chinese deligate, now in Japan.

Chu Shih-ming is present chinese mission.

(2) Condition of Chinese Army in Formosa.

They pretend 400.000 fully equipped, but, in reality, they have round I50.000 weak soldiers, without fighting spirit.

(3) After the War, over 2 million chinese moved over there. Because of polical and economical condition, inhabitants are drown into the confusion and uneasiness, as they are higher educated than those new comers, very dissatisfied with present situation. If roughly classify;

50 % of them are wishing japanese rule
20% wish for international rule
20 % wish neutrality
I0 % wish for independence, but, most of them are communist.

Observation;

If remains like now, soon or later, Formosa will go into the hand of Chinese communist Army. Now, it looks as if it were matter of time. This does not mean the landing of armed forces, the collapsion comes by itself, by the agitation of communists in Formosa. The situation is very dangerous.
If Formosa falls, it means the breaking through the center of american defence line, in West Pasific, therefore, Formosa could be considered as point of balance of power, between Russia and America, in East.

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